		Issue 4: Cross-Complainant's Fourth Cause of Action for Receipt of Stolen Property (Penal Code section 496) has no merit because it is barred by the applicable statute of limitations. The parties do not dispute Neach's contention that this cause of action is barred by the 1-year statute of limitations. Pacheco's cross-complaint seeks both treble damages and attorneys' fees under section 496, subdivision (c), which provides as follows, "Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Pen. Code, § 496, subd. (c).) CCP section 338, subdivision (a) sets forth a 3-year statute of limitations for an action "upon a liability created by statute, other than a penalty or forfeiture." (Code Civ. Proc., § 338, subd. (a).) CCP section 340, subdivision (a) provides for a 1-year statute of limitations for an action "upon a statute for a penalty or forfeiture, if the action is given to an individual, or to an individual and the state, except if the statute imposing it prescribes a different limitation." (Code Civ. Proc., § 340, subd. (a).) "Claims based upon statutes which provide for mandatory recovery of damages additional to actual losses incurred, such as treble damages, are considered penal in nature, and thus are governed by the one-year limitations period under section 340, subdivision 1." (Menefee v. Ostawari (1991) 228 Cal.App.3d 239, 243.) "Case law has consistently applied the one-year limitations period to statutes that provide for recovery of

		actual damages and a mandatory additional penalty." (Prudential Home Mortgage Co. v. Superior Court (1998) 66 Cal.App.4th 1236, 1242.) However, not all statutorily-provided recoveries are penalties or forfeitures. (Holland v. Nelson (1970) 5 Cal.App.3d 308, 312-313 [Finding Civil Code section 1812.62 that allowed the Court the option of granting treble damages is not to be construed as converting the statutory right of action into one for penal damages, and providing examples of when additional recovery did not constitute a penalty or forfeiture - Fair Labor Standards Act (29 U.S.C.A., s 216, subd. (b)), a veteran's action to recover treble damages for excess consideration charged for his home, and an action for treble damages under the Sherman Act.].) Section 496, subdivision (c) "was designed, not solely to deter theft, but also to provide a new civil remedy to those who have been injured by a violation of the statute." (Siry Investment, L.P. v. Farkhondehpour (2022) 13 Cal.5th 333, 357.) Citing to Switzer v. Wood (2019) 35 Cal.App.5th 116, the California Supreme Court explained: The court in Switzer surmised that in light of the language chosen, the Legislature "apparently believed that any violation of section 496(a)," if proved, "would warrant the availability of treble damages." (Switzer, supra, 35 Cal.App.5th at p. 130, 247 Cal.Rptr.3d 114.) The court explained: "The creation of an enhanced civil remedy for any person injured by the theft-related criminal offenses defined in the statute is certainly not absurd or unreasonable. Considering the nature of the offense described by the statute and the apparent goal of deterring such theft-related conduct, the provision, as literally written, of an enhanced civil remedy to 'any person' injured by that particular offense constituted a reasonable

		legislative policy decision. (Siry Investment, L.P. v. Farkhondehpour, 13 Cal.5th at 356-357.) The Switzer Court also noted that "while deterrence of theft was one of the goals of Senate Bill No. 1068, another purpose for the proposed legislation was expressly stated in the analysis provided by the Senate Committee on the Judiciary, under the heading 'Purpose,' which expressed that the bill's basic purpose was to '[e]stablish a civil remedy for persons who have been injured by another's purchase, concealment, sale, or withholding of property where such person knows the property has been stolen.' (Sen. Com. on Judiciary, Analysis of Sen. Bill No. 1068 (1972 Reg. Sess.) as amended June 26, 1972.)" (Switzer v. Wood (2019) 35 Cal.App.5th 116, 131-132.) The Court finds this cause of action is governed by the three-year statute of limitations. (See, Naftzger v. American Numismatic Society (1996) 42 Cal.App.4th 421, 433-434.) Regardless of which statute of limitations applies, Neach did not meet his initial burden to show when Pacheco knew or should have known about the allegedly improper allocation of expenses. Even if Neach met his initial burden, Pacheco raised a triable issue of material fact as to whether Neach had any involvement with the calculation of incentive compensation other than reviewing the calculation after Icona took over calculating the incentive compensation. (NMF No. 8; Pacheco Decl., ¶¶ 30 and 31.) Accordingly, the motion for summary adjudication is denied. Lastly, the Court notes Neach accurately contends Pacheco's Opposition quotes language that does not exist, at least not in the cases that were cited.